Why Time Bars Are Not Enough

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The practitioner's case against time bars, subtitled 'From Ticks to Insight: Building Bars That Respect Market Microstructure.' The core argument: most traders use 1-minute, 5-minute or hourly bars because that is every charting tool's default, but markets move in activity, not time — the first hour of trading may see thousands of transactions while overnight sees almost none, so fixed-time sampling oversamples quiet periods and undersamples peak volatility.

The post walks up the ladder of alternatives — tick bars, volume/VWAP bars, and imbalance bars — with short 'when to use' guidance for each (e.g. volume bars when volume is the key signal, for assets with irregular liquidity, or for execution-timing/slippage-sensitive strategies) and Python snippets drawn from Quantreo's own open-source quantreo bar-building library.

A concise 'why not time bars' primer whose examples are runnable against a maintained library, doubling as a pointer to tooling. Free newsletter post, broad rather than deep; stops at introducing imbalance bars. Archived as an original summary card.

Source: https://www.newsletter.quantreo.com/p/why-time-bars-are-not-enough